

both options buying and options selling) and participation increased a lot in the options segment.

But it also provides many trading opportunities (4 times more) for traders. A good speculator will use options buying, smart traders rely on options selling with a strict stop-loss, and intelligent strategist traders depend on many options strategies to make money.

Hence, a trader should know the basics of options and some essential strategies to make decent money in intraday trading.

Strategy #1 Credit Spread

Credit spread is a wonderful favorite strategy involving option buying and option selling (1 main trade and 1 hedge trade).

There are two types of credit spread – 1) Credit Call spread and 2) Credit Put spread.

A credit call spread is used when a trader is bearish, and a credit put spread is used when the trader expects a moderate rise in the price.

Advantages:

- 1) The exact loss and profit are clearly defined
- 2) It gets rid of the big loss scenario from trading
- 3) We can manage trades even in the case of a wide SL in the underlying instrument
- 4) Time decay works for us
- 5) It is profitable even if the price moves sideways

We will study an example of credit put spread for understanding how it works. It involves the buying and selling of put options of the same security, with different strike prices with the same expiry date.

Example 1 - Nifty on 18-May-2021 (Weekly Expiry).